

MORNING INTELLIGENCE REPORT

Monday, May 25, 2026

Ticker	Company	Price	Change	Mkt Cap	Overnight Status
TEM	Tempus AI	\$46.18	▼ 0.67%	\$8.29B	■ News

Auto-generated using SEC EDGAR filings, yfinance market data, and AI analysis (claude-opus-4-7). For informational purposes only — not investment advice.

TEM Tempus AI**\$46.18 ▼ 0.67%**

52-Wk High	52-Wk Low	Day High	Day Low	Mkt Cap	Beta
\$104.32	\$41.73	\$47.77	\$45.84	\$8.29B	N/A
Volume	Avg Volume	Prev Close			
4,302,519	5,485,242	\$46.49			

OVERNIGHT ACTIVITY

No material overnight catalyst hit the tape, with the most recent newsflow being Saturday's Insider Monkey piece highlighting the ArteraAI Prostate Test launch — the first externally developed digital pathology algorithm on Tempus's platform — alongside the previously disclosed Bristol Myers Squibb oncology/neuroscience collaboration expansion. TEM closed Friday at \$46.18 (-0.67%) on 4.28M shares, sitting just 7% off its 52-week low of \$41.73 and roughly 56% below the \$104.32 high. The five-session tape shows a constructive bounce from \$43.62 to \$46.49 before Friday's modest fade, suggesting short-term stabilization after the 22% one-month drawdown referenced in the Simply Wall St. note. With RSI cited at 34.6, the setup remains technically oversold heading into the holiday-shortened week.

INVESTMENT THESIS & FORWARD ANALYSIS

The bull case rests on Tempus monetizing the largest multimodal oncology dataset in the U.S. through three revenue legs: Genomics (sequencing/diagnostics volume), Data & Services (pharma data licensing, where the BMS expansion is the marquee anchor alongside AstraZeneca, Pfizer, and GSK deals), and emerging AI applications like Olivia and the new third-party algorithm marketplace (ArteraAI). Re-rating catalysts include accelerating Data & Services growth above the ~30%+ range, margin inflection toward adjusted EBITDA breakeven, expansion of the pharma contract backlog beyond the \$1B+ disclosed level, and reimbursement wins for xT CDx and MRD assays. The ArteraAI launch is strategically important because it validates Tempus as a platform play — taking economics on algorithms it didn't build — which could meaningfully expand TAM beyond captive diagnostics. The primary bear case is persistent GAAP losses, cash burn requiring further dilution, and competitive pressure from Guardant, Natera, and Caris in liquid biopsy/MRD, where Tempus is not the technology leader. Valuation at ~\$8.3B on roughly 5–6x forward sales still demands execution that has been uneven since IPO.

TECHNICAL & FUNDAMENTAL OUTLOOK

TEM is in a clear downtrend that is showing early signs of basing, with the \$43.62–\$41.73 zone acting as critical support — a break there opens air pocket risk given no prior price memory. Immediate resistance sits at \$46.49 (last week's high) and then the psychological \$50 level; a reclaim of \$50 would target the \$55–\$58 gap-fill zone, representing ~20% upside. With RSI at 34.6 and price compressed near 52-week lows on declining volume (4.28M Friday vs. 5.97M the prior Monday), the setup favors mean-reversion over continuation, but bulls need a volume expansion above \$47 to confirm. Risk/reward skews favorable for a tactical bounce, though the broader downtrend from \$104 remains intact until \$58–\$60 is recaptured.

CORRELATED STOCKS & SECTOR IMPLICATIONS

Closest peer correlations include Guardant Health (GH) and Natera (NTRA) in precision oncology diagnostics, Veeva Systems (VEEV) as a healthcare data/SaaS analog selling into pharma, Schrödinger (SDGR) as another AI-for-drug-discovery name with similar pharma-partnership revenue dynamics, and Recursion Pharmaceuticals (RXX) as a pure-play AI biotech that trades on similar sentiment cycles. Exact Sciences (EXAS) is also relevant given overlapping oncology screening exposure. Tailwind sectors include AI infrastructure/software (benefiting from the broader generative AI capex cycle that lifts platform-style healthcare names) and large-cap biopharma (Tempus's customers — more R&D; outsourcing to AI vendors is accretive). Headwind sectors include traditional CROs (IQV, ICLR), which face disintermediation risk from AI-native trial design, and legacy anatomic pathology labs whose workflow

RECENT NEWS

Tempus AI (TEM) Launches ArteraAI Prostate Test, The First Externally Developed Digital Pathology Algorithm Insider Monkey · 2026-05-24 13:06

Tempus AI, Inc. (TEM) and Bristol Myers Announce a Strategic Partnership Insider Monkey · 2026-05-23 04:49

Assessing Tempus AI (TEM) Valuation After Recent Share Price Weakness Simply Wall St. · 2026-05-19 00:21

Tempus AI And BMS Deepen AI Drug Development Ties As Losses Persist Simply Wall St. · 2026-05-18 18:12

7 Healthcare AI Stocks Under \$50 With Huge Upside Potential 24/7 Wall St. · 2026-05-18 11:35

Imviva's CTA313 Lupus Drug Shows Promising Remission Results Exec Edge · 2026-05-14 22:15